Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 1 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** C wage rates	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** B Interest rates	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is that there is greater consumer choice **(1).** US consumers are now able to buy imported avocados throughout the year from Mexico **(1)** and do not have to rely on production from the US **(1)** • One way is that there is more access to a wider range of products **(1).** Some food products such as avocados may not be available in other countries **(1).** Globalisation has thereby enabled a more varied diet for many consumers in the US **(1)** Accept any other appropriate response	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 1 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Mondelez has been exporting its products to Bangladesh for 15 years and locating within the country may reduce transport costs • The labour costs might be lower in Bangladesh compared to other countries where Mondelez operates • Reducing costs may enable Mondelez to reduce prices for its food and beverage products • This could result in Mondelez gaining a competitive advantage over other MNCs in the same market • By locating within Bangladesh, Mondelez could reduce exchange rate fluctuations • Mondelez could also avoid trade restrictions by locating in Bangladesh	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 1 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	**Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A current account deficit occurs when the value of imports are greater than its exports • This could result in a leakage from the Indonesian economy as demand for imported goods replaced demand for domestically produced goods • This could result in an increase in unemployment and a fall in GDP in the long term • A current account deficit could indicate that there is less demand for exports which again could result in an increase in unemployment in Indonesia • There could be problems finding foreign reserves to fund the deficit as spending on imports is not being fully financed from export revenue **AO4** • However, this could result in higher standards of living as people have access to a wider range of good quality (cheaper) imports • The deficit could result in a fall in prices therefore reducing inflationary pressures in Indonesia • Over time there could be a fall in the exchange rate which could improve competitiveness for Indonesia's exports • Depends on the size and duration of the deficit as to the overall impact on the Indonesian economy	**(9)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 1 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 1 of 17 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark

1(a)	**AO1 1 marks** **A** rises	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **D** a reduction in trade barriers between members	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a firm and 1 mark for reference to different countries An enterprise/company/firm **(1)** that produces/sells/operates in more than one country/many countries **(1)**	**(2)**

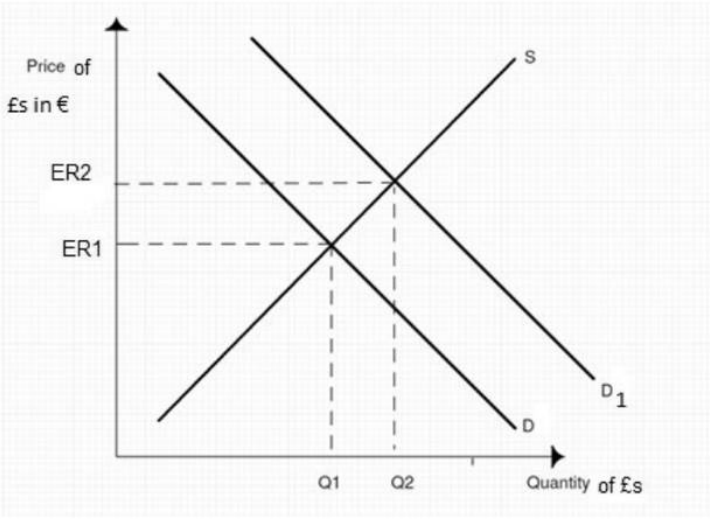
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for further development. The productive potential will increase **(1)** due to greater investment in capital goods **(1)** **OR** The productive potential will increase **(1)** as firms invest more from greater profits **(1)**	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 2 of 17 · Question 1 part c · 2 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation Award 1 mark for the correct answer 271.7 + (-22.4) **(1)** = €249.3bn **(1)** Award 2 marks if the correct answer is shown, with euro symbol, even if no calculations are shown Do not award marks for formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for right shift of demand curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 2 of 17 · Question 1 part c · 2 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the reason being in context • One reason is because economic growth can improve living standards for the population **(1).** Growth of 0.4% leads to people having higher levels of income **(1).** This can lift people out of poverty in the UK **(1)** • One reason is because economic growth can result in higher levels of tax revenue for a government **(1).** This is due to higher levels of income within the economy **(1)** resulting in more revenue for public sector services in the UK such as education/healthcare **(1)** Accept any other appropriate response.	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 2 of 17 · Question 1 part c · 2 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal surplus is when government tax receipts are greater than government spending, in this case 1.3% of GDP in 2016 and expected 0.4% of GDP in 2017 • The government of Singapore has extra funds and these funds can be allocated to pay off any government debts • This reduces the interest payable on any debt and helps the economy in the future • The government of Singapore could use the fiscal surplus to reduce taxes • It could fund new education and training programmes or improve existing public services such as healthcare	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 2 of 17 · Question 1 part c · 2 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 3 of 17 · Question 2 part f · 3 marks

2019 JUN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO1 1 mark** **C** 4%	**(1)**

Question Number	Answer	Mark
2(b)	**AO2 1 mark** **A** Direct taxation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct way. • Visual pollution • Noise pollution • Air pollution • Water pollution Accept any other appropriate responses.	**(1)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 3 of 17 · Question 2 part f · 3 marks

2019 JUN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to increasing productive capacity and 1 mark for reference to aggregate supply. Policies designed to increase the productive capacity of the economy **(1)** by influencing aggregate supply **(1)** OR Government measures **(1)** designed to increase aggregate supply in the economy **(1)**	**(2)**

Question Number	**Answer**	**Mark**
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage of having a depreciating currency. Award 1 mark for developing the advantage. Award 1 mark for the response being in context. • An improvement on the current account **(1)** A weaker value of the peso leads to rising export sales **(1)** resulting in a larger trade surplus for the economy of the Philippines **(1)** • Economic growth for the economy of the Philippines **(1)** The price of exports should fall because of the weaker peso **(1)** This may result in an increase in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 3 of 17 · Question 2 part f · 3 marks

2019 JUN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason. Award 1 mark for developing the possible reason. Award 1 mark for the response being in context. • To access customers in different regions **(1)** Demand may have become saturated in the domestic market of the MNC **(1)** A growing economy such as India provides a much bigger market in which to sell their goods/services **(1)** • Cheaper resources such as labour **(1)** Countries such as India have cheaper skilled labour compared to the domestic market of the MNC **(1)** This allows the MNC to produce products at a much lower cost **(1)** Accept any other appropriate response.	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 3 of 17 · Question 2 part f · 3 marks

2019 JUN · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries such as Thailand because they have access to a wider market in ASEAN countries, such as Vietnam, in which to sell their goods and services • Firms in countries such as Thailand may be able to exploit economies of scale or specialisation can occur • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the ASEAN trade block may attract increased FDI • Membership of the trade bloc has contributed to an increase in GDP per capita from $122 to $4 021 **AO4** • Thailand may face increased competition as imports from other member countries increase • This may have a damaging effect on Thailand's domestic firms • Countries such as Thailand may rely too heavily on trade within the bloc rather than trading with non-member countries such as India • The overall benefits will depend on the ability of a country to compete within the region and the level of trade with non-member countries	**(9)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 3 of 17 · Question 2 part f · 3 marks

2019 JUN · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 3 of 17 · Question 2 part f · 3 marks

2019 JUN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark

2(a)	**AO2 1 mark** **C**	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **B** Increased choice for consumers	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct objective. • Economic growth • Low and stable inflation • Low unemployment • Surpluses or equilibrium on current account • Redistribution of income • Protection of the environment Accept any other appropriate responses.	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to fixed exchange rate system and 1 mark for reference to increased When the price of a currency in a fixed exchange rate system **(1)** is officially increased against other currencies **(1)** **Or** When a government fixes **(1)** new higher exchange rate **(1)** Accept any other appropriate response	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 4 of 17 · Question 2 part g · 9 marks

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that the government can spend more within the economy **(1)**, this overspend can be used to invest in the public services such as infrastructure **(1)**, and this can create jobs within the Indian economy stimulating economic growth **(1).** Accept any other appropriate response.	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a pattern of trade Award 1 mark for developing the pattern of trade Award 1 mark for the response being in context • Developed countries such as Germany export valuable manufactured goods **(1)** such as cars and electrical goods **(1)** and import cheaper primary products such as tea and sugar **(1).** • Developed countries such as Germany have moved away from the primary sector **(1)** and have more developed secondary and tertiary sectors **(1).** They export finished goods to developing countries such as Bangladesh **(1).** Accept any other appropriate response.	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 4 of 17 · Question 2 part g · 9 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Jobs may be created in Bangladesh with the investment from Japanese firms such as Honda and Nippon Koei • Nippon Koei have recruited 2,500 employees to work in its steel factories • Local businesses in Bangladesh may benefit from supplying MNCs with equipment and raw materials for car manufacturing • Honda may train local workers to be employed in the car factories which could result in a reduction in unemployment and an increase in the standard of living in Bangladesh • Economic growth may occur in Bangladesh as the government receives an increase in tax revenue from both the MNCs and the newly employed workers **AO4** • However, many of the Japanese MNCs are coming to Bangladesh for low wages which could result in poor working conditions for local employees • There is no guarantee that jobs will be created for managerial positions as many MNCs do not train local workers to a high level • MNCs may drive out local businesses as they take over businesses and gain market share • Some MNCs damage the local environment and the cost of cleaning up pollution is often left to the host government.

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 4 of 17 · Question 2 part g · 9 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 4 of 17 · Question 2 part g · 9 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 5 of 17 · Question 3 part c · 3 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** **B** Increased inflation	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **B** Progressive	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is the MNCs may create jobs **(1)**.The palm plantations require many workers to harvest the palm oil **(1)**. This can reduce the amount of unemployment in Indonesia **(1)** • One advantage is the contribution to government revenue **(1)**. Foreign MNCs might be required to pay taxes to the Indonesian Government **(1)**. This can be used to fund public services within Indonesia **(1)** Accept any other appropriate response	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 5 of 17 · Question 3 part c · 3 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Recession is when GDP falls for two consecutive quarters • During a recession there is a decline in consumption and investment • There is often a loss of confidence which makes consumers buy fewer goods and services • Lower consumption of goods and services results in some firms requiring fewer workers • Manufacturers may cut back on recruitment and/or the number of employees in reaction to falling orders • Overall, the unemployment rate rises in a recession	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 5 of 17 · Question 3 part c · 3 marks

2020 NOV · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to affect the level of economic activity • Expansionary monetary policy aims to boost economic growth by lowering interest rates • China has lowered interest rates to 4.35% in 2018/2019 from a high of 6% in 2014 • This makes borrowing more attractive to firms and households as a lower rate of interest is charged on loans • Firms and consumers with existing loans and mortgages will also see a drop in interest payments and therefore will have more disposable income to spend • This may increase the demand for goods and services within the Chinese economy, thus increasing economic growth **AO4** • However, not all economic growth is dependent upon interest rates • Other factors such as business and consumer confidence play a huge role in the demand for goods and services • Often there is a time lag for a reduction in interest rates to feed through into the economy in terms of increased demand • Lower interest rates may increase demand for goods and services but can result in inflationary pressures if supply is not able to keep up with demand • The effectiveness may depend upon a range of factors within the Chinese economy	**(9)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 5 of 17 · Question 3 part c · 3 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 5 of 17 · Question 3 part c · 3 marks

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Question Number	Answer	Mark

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 6 of 17 · Question 1 part h · 6 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Seasonal A is not correct because this is caused by changes in whole industries B is not correct because this is caused by falling demand as a result of a downturn in the economic cycle D is not correct because this is caused from people choosing not to work	**(1)**

Question Number	Which **one** of the following terms refers to a tax on imported goods? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is **B** Tariff A is not correct because this is money paid by a government to reduce costs and lower prices C is not correct because this is a financial penalty for firms that break laws D is not correct because this is a document that gives business the right to discharge a certain quantity of polluting material	**(1)**

Question Number	What is meant by the term recession? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to fall in GDP and 1 mark for reference to time period A fall in GDP **(1)** for two successive quarters **(1)**. Accept any other appropriate response	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 6 of 17 · Question 1 part h · 6 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part h in this mark scheme extract

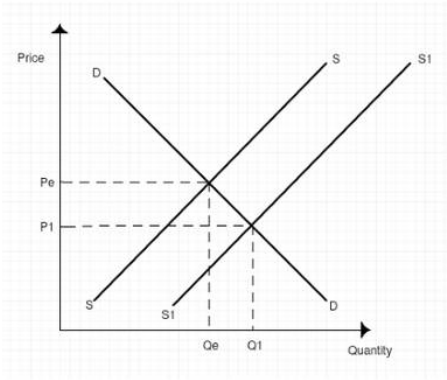
Question Number	What is meant by the term dumping? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to exporting goods and 1 mark for reference to the price being below manufacturing costs A firm sells goods in another country **(1)** below the cost of production **(1).** Accept any other appropriate response	**(2)**

Question Number	Calculate **the fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working. Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 2 080 201 Rs – 2 784 200 Rs **(1)** Award 1 mark for the correct answer = –703 999 Rs **(1)** Award 2 marks for the correct answer of –703 999 Rs even if no calculations are shown. Award 1 mark if the answer given is –703 999 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 6 of 17 · Question 1 part h · 6 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part h in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** benefit to the UK Government of providing parks. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that national parks can protect a large area of land **(1)**. The Lake District National Park has over 12% of woodland that is protected **(1)**. Restrictions are in place to stop business activities that could damage the environment **(1)** • One benefit is that national parks can be used for recreational purposes **(1)**. Over 19.17 million people visited the Lake District National Park in 2018 **(1)** increasing tourism for local firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 6 of 17 · Question 1 part h · 6 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part h in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland. Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • FDI is the value of inward investment from other countries/firms into a country • FDI can bring in capital investment to Ireland as MNCs will need buildings, equipment and infrastructure to operate within the country • Jobs can be created by MNCs which reduces unemployment and increases disposable income in Ireland • There may be increased demand for the products or services of local Irish firms that supply MNCs • MNCs may train up the local workforce and MNCs often bring new technologies, techniques and methods • Increased employment and wages should lead to increased tax for the Irish Government • Exports may also increase therefore improving the balance of payments for Ireland

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity an organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 6 of 17 · Question 1 part h · 6 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part h in this mark scheme extract

Question Number	An appreciation in a country's exchange rate is most likely to lead to which **one** of the following? Answer	Mark

4(a)	**AO2 2 marks** Award 2 marks for calculating the annual average value of FDI $\frac{(45.14 + 55.55 + 60.98 + 64.37)}{4}$ **(1)** = $56.51bn **(1)** Award 2 marks for the correct answer of $56.51bn is accurately calculated with no workings shown Award 1 mark if the answer given is 56.51bn with or without calculations shown Do not award marks for the formula	**(2)**

Question Number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • This can benefit member countries such as India because they have access to a wider market in the AFTA, such as Bangladesh, in which to sell their goods and services • Firms in countries such as India may be able to exploit economies of scale or specialisation can occur • Indian consumers may benefit from lower prices and/or greater choice of goods and services • Being a member of the AFTA trading blocs may attract increased FDI into India

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 7 of 17 · Question 4 part c · 12 marks

2021 NOV · Paper 02 · extract 2 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 7 of 17 · Question 4 part c · 12 marks

2021 NOV · Paper 02 · extract 3 of 4 · find part c in this mark scheme extract

Question Number	**Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • FDI is the value of inward investment from other countries/firms into a country • FDI can bring in capital investment to India as MNCs will need buildings, equipment and infrastructure to operate within the country • Jobs are created by MNCs such as firms operating in the chemical and automobile industries which reduces unemployment and increases disposable income • There may be increased demand for the products or services of local Indian firms that supply MNCs • MNCs may train up the local workforce who may acquire useful skills in car production factories. MNCs often bring new technologies, techniques and methods • Increased employment and wages should lead to increased tax and government revenue • Exports may increase therefore improving the balance of payments **AO4** • However, wages offered by foreign MNCs can often be low and working conditions may be poor • Some MNCs may not train local workers to a high level and instead bring in their own management rather than employ local workers • MNCs may take market share away from local firms causing domestic industries to go into decline • Some MNCs can cause great damage to the environment, particularly chemical or construction industries by their processes causing negative externalities due to a lack of regulation • Profits are often sent home and taxation can be reduced or avoided therefore reducing revenue for the Indian Government • Some MNCs may stay a short time in India and often move from one country to the next, taking whatever incentives are on offer • The overall benefits will depend upon how foreign MNCs behave in the economy

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 7 of 17 · Question 4 part c · 12 marks

2021 NOV · Paper 02 · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

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Number		
1(a)	**AO1 1 marks** The only correct answer is: **D** operates in more than one country A is not correct because shareholders may just be from one country B is not correct because MNCs may not necessarily export goods C is not correct because MNCs are owned by private investors and this would be a nationalised company	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Interest rate B is not correct because this would reduce disposable income meaning less saving C is not correct because this would make imports cheaper and encourage spending D is not correct because this would increase the price of goods meaning less saving	**(1)**

Question Number	What is meant by the term imports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being from another country The purchase of goods or services **(1)** from another country **(1)** Accept any other appropriate response.	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 8 of 17 · Question 1 part a · 1 mark

2022 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

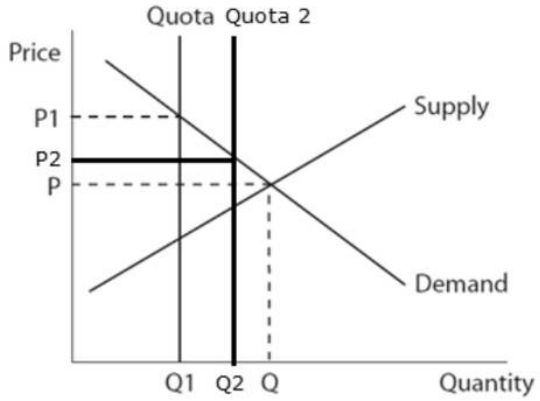
Question Number	Describe one reason why governments make benefits payments. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to reducing poverty and 1 mark for reference to helping to meet basic needs Reduce poverty/inequality in a country **(1)** by making benefit payments to assist with meeting basic needs **(1)** Accept any other appropriate response.	**(2)**

Question Number	Using the data in Figure 1, calculate in £bn, the current account for the UK year ending July 2019. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation £646.7bn - £689.9bn **(1)** Award 1 mark for the correct answer = -£43.2bn **(1)** Award 2 marks if the correct answer of -£43.2bn is shown, with pound (£) symbol, even if no calculations are shown Award 1 mark if -43.2bn is shown, but with no £ sign, with or without calculations shown Do not award marks for formula	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 8 of 17 · Question 1 part a · 1 mark

2022 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a new quota on the equilibrium price and quantity of haddock. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  **Figure 2**	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 8 of 17 · Question 1 part a · 1 mark

2022 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Explain one possible reason why a country such as Norway has a current account surplus. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is because of high quality domestic goods **(1)**. High quality goods may increase the demand for exports **(1)** resulting in more money flowing into the country than flowing out **(1)** • One reason is because of the lower price of domestic goods **(1).** Lower prices for domestic goods may result in less demand for imported goods **(1)** resulting in less money flowing out of the country **(1)** Accept any other appropriate response.	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 8 of 17 · Question 1 part a · 1 mark

2022 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Question Number	Analyse how a reduction in indirect taxation is likely to affect the standard of living in a country such as the UK. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Indirect taxes are government charges imposed on goods and services • Lowering indirect taxes such as VAT will result in consumers paying less for goods and services • This allows consumers and firms to make more purchases as prices are cheaper • Increased spending could be spent on more/better quality goods and services, thereby increasing the standard of living in the UK for consumers • With increased spending within the UK economy, output and employment may increase for firms, further increasing the standard of living	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 8 of 17 · Question 1 part a · 1 mark

2022 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 9 of 17 · Question 3 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 1 of 7 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** The construction of a factory in India by a Chinese firm A is not correct because this is an example of exporting goods B is not correct because this an example of domestic investment D is not correct because this an example of domestic growth/expansion	**(1)**

Question Number	If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **D** UK exports to the US will be cheaper A is not correct because the UK pound has depreciated not appreciated B is not correct because US holidays will become more expensive C is not correct because US exports will become more expensive	**(1)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 9 of 17 · Question 3 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 2 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that there may be increased demand for Pakistani exports **(1)** if consumers overseas prefer to buy better quality goods made in Pakistan **(1)**. This may have a positive impact on the current account of Pakistan if there is an overall increase in net exports **(1)** • One reason is that this may reduce the quantity of imports into Pakistan **(1)** as it is more advantageous to purchase better quality domestically produced goods rather than import from other countries **(1)**. This could result in a decrease in net imports **(1)** Accept any other appropriate response	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 9 of 17 · Question 3 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 3 of 7 · find part a in this mark scheme extract

Question Number	Analyse the benefits of investing in healthcare for a country such as China. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The social benefit of providing healthcare to an individual often exceeds the private benefit through immunisation programmes • Investing in healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in China • Low income households would not be able afford healthcare if the government did not pay for most (90%) of the cost - hence some may lose income from not being able to work • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to improve standards of living in China • Healthcare also provides many jobs for healthcare workers including nurses and doctors	**(6)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 9 of 17 · Question 3 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 4 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 9 of 17 · Question 3 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 5 of 7 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the drawbacks for the UK of having MNCs located within the country. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • MNCs are companies that operate in many different countries • By their very nature MNCs are therefore able to easily move profits made in one country to another country that may have lower business taxes than the UK • This helps the MNC to avoid paying taxes to the UK Government • This has been estimated to be £34.8bn in 2019-2020 in the UK and has been increasing over time • This £34.8bn could have been spent by the UK Government on public services such as education and healthcare • MNCs often cause environmental damage from their operations **AO4** • However, MNCs do bring many advantages as well as disadvantages to the host country • Not all MNCs move profits abroad and do contribute to taxes from their operations within the UK • MNCs create much needed jobs when building factories and production facilities in the UK • Local businesses may benefit from supplying the MNC with raw materials or labour • It does depend on the individual MNC as to whether the advantages outweigh the disadvantages from poor corporate behaviour within the UK	**(9)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 9 of 17 · Question 3 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 9 of 17 · Question 3 part a · 1 mark

2023 JAN · Paper 02 (regional R) · extract 7 of 7 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage change in GDP per capita** in Egypt between 2019 and 2020. You are advised to show your working. **Answer**	Mark

3(a)	**AO1 1 mark** The only correct answer is: **C** The construction of a factory in India by a Chinese firm A is not correct because this is an example of exporting goods B is not correct because this an example of domestic investment D is not correct because this an example of domestic growth/expansion	**(1)**

Question Number	If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **D** UK exports to the US will be cheaper A is not correct because the UK pound has depreciated not appreciated B is not correct because US holidays will become more expensive C is not correct because US exports will become more expensive	**(1)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 10 of 17 · Question 3 part e · 9 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that there may be increased demand for Pakistani exports **(1)** if consumers overseas prefer to buy better quality goods made in Pakistan **(1)**. This may have a positive impact on the current account of Pakistan if there is an overall increase in net exports **(1)** • One reason is that this may reduce the quantity of imports into Pakistan **(1)** as it is more advantageous to purchase better quality domestically produced goods rather than import from other countries **(1)**. This could result in a decrease in net imports **(1)** Accept any other appropriate response	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 10 of 17 · Question 3 part e · 9 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Analyse the benefits of investing in healthcare for a country such as China. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The social benefit of providing healthcare to an individual often exceeds the private benefit through immunisation programmes • Investing in healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in China • Low income households would not be able afford healthcare if the government did not pay for most (90%) of the cost - hence some may lose income from not being able to work • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to improve standards of living in China • Healthcare also provides many jobs for healthcare workers including nurses and doctors	**(6)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 10 of 17 · Question 3 part e · 9 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 10 of 17 · Question 3 part e · 9 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 7 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the drawbacks for the UK of having MNCs located within the country. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • MNCs are companies that operate in many different countries • By their very nature MNCs are therefore able to easily move profits made in one country to another country that may have lower business taxes than the UK • This helps the MNC to avoid paying taxes to the UK Government • This has been estimated to be £34.8bn in 2019-2020 in the UK and has been increasing over time • This £34.8bn could have been spent by the UK Government on public services such as education and healthcare • MNCs often cause environmental damage from their operations **AO4** • However, MNCs do bring many advantages as well as disadvantages to the host country • Not all MNCs move profits abroad and do contribute to taxes from their operations within the UK • MNCs create much needed jobs when building factories and production facilities in the UK • Local businesses may benefit from supplying the MNC with raw materials or labour • It does depend on the individual MNC as to whether the advantages outweigh the disadvantages from poor corporate behaviour within the UK	**(9)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 10 of 17 · Question 3 part e · 9 marks

2023 JAN · Paper 02 (regional R) · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 10 of 17 · Question 3 part e · 9 marks

2023 JAN · Paper 02 (regional R) · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage change in GDP per capita** in Egypt between 2019 and 2020. You are advised to show your working. **Answer**	Mark

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** an increase in inflation A is not correct because tax revenues are likely to rise as more people have jobs/ firms are making more profit B is not correct because economic growth is likely to increase as more people are in employment D is not correct because relative poverty should decrease as more people have income from a job	**(1)**

Question Number	Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Greater environmental damage A is not correct because this is an advantage of FDI C is not correct because this is an advantage of FDI D is not correct because this is an advantage of FDI	**(1)**

Question Number	Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is demand may have increased for imports **(1)** as consumers switch to imports rather than domestically produced goods as their quality has improved **(1).** This results in more money flowing out the country resulting in a negative impact on the current account deficit **(1)** Accept any other appropriate response.	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for UK firms. Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The UK has agreed to end 99% of tariffs on goods from Australia • Free trade means that UK firms are no longer protected from imports from Australia that once had tariffs applied to them • Free trade means that UK firms may face greater competition from firms in Australia • UK firms may have increased competition from cheaper, lower cost firms in Australia that may have lower wage costs compared to UK firms • This could result in falling sales for UK firms that might have higher labour costs compared to Australia	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits of privatising the college. Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Privatisation is the act of selling a company or activity controlled by the government to private investors • The Scottish Government has recently privatised Shetland College • Shetland College will have more control over its operations now that it is in the private sector • Shetland College cannot rely on public money and must make a profit to survive • Therefore, Shetland College will now have to compete against the other rival colleges for students in order to gain revenue • Competitive pressures should help to improve quality and reduce prices for the students using the college • Shetland College may try to compete by offering a wider range of courses to attract more people to the college • It could seek to lower the prices for its courses without the interference of the government thereby benefitting students of the college **AO4** • However, in practice, state monopolies often become private monopolies • This might be the case with the firm operating in the education market • Competitive pressures are often not forthcoming and Shetland College has simply been moved from state to private ownership without facing any new competition • Critics are concerned that the privatisation might result in fewer courses available for students • As a result consumers/students might be exploited due to poor quality and price increases as the private firm seeks to reduce costs in order to maximise profits • Workers might be negatively affected as large numbers of people are often made redundant to reduce costs • The overall impact will depend on how the college is managed and operated by the management	**(9)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage change** in the fiscal deficit for Spain between 2019 and 2020. You are advised to show your working Answer	Mark

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 12 of 17 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation 3,063,500 x 100 **(1)** 19,700,000 Award 1 mark for the correct answer = 15.55% **(1)** Award 2 marks if the correct answer is 15.55% even if no calculations are shown Award 1 mark if the answer given is 15.55 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 12 of 17 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible disadvantages of the Kazakhstan Government privatising the national railway company. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Privatisation involves selling state-owned assets to the private sector • Often privatisation forces the new private companies to be efficient or at least find ways of reducing costs in order to make a profit • The most popular way of cutting costs is to reduce the size of the workforce • This would result in many railway workers losing their jobs and see an increase in the number of people unemployed in Kazakhstan • KTZ is the largest employer in Kazakhstan so privatising the railway could have a huge impact on unemployment levels in the country • KTZ's operations are already profitable therefore any future profits would be given to shareholders rather than go to the government • This might result in lower levels of investment and higher prices for railway users	**(6)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 12 of 17 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 12 of 17 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the advantages of an increase in foreign direct investment (FDI) for a country such as Kazakhstan. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • FDI is investment in one country that is made by a business, organisation or a government from another country • In 2022, Kazakhstan has received $22.1bn from countries such as the Netherlands, the US and Switzerland • Jobs may be created in Kazakhstan by the foreign firms requiring local workers for building new factories or employing workers in manufacturing or retail firms • Local firms may benefit from supplying the foreign firms with equipment or raw materials used in the production of goods and services • Often MNCs pay higher wages than local firms and help to train the local workforce with new skills and technology • Taxation from the foreign firms could be used to fund public services within the country • There could be an increase in GDP which could result in an increase in the overall of standard of living in Kazakhstan from increased FDI **AO4** • However, the advantages may come with some potential problems • Often foreign MNCs are only interested in accessing natural resources and to take advantage of lower wages • Kazakhstan has lots of oil and gas therefore this could result in damage to the environment by foreign MNCs during the extracting and mining processes • The cost of cleaning up the damage caused to the environment from mining could be left for the Kazakhstan Government • There is no guarantee that wages paid by foreign firms will be higher and working conditions may be poor • Foreign MNCs may bring their own workforce and management rather than training local workers with little opportunity for developing skills • Some MNCs might only spend a brief period of time in Kazakhstan before moving on to other countries • The overall advantages will depend upon how foreign MNCs behave in the economy	**(12)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 12 of 17 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 12 of 17 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

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Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 13 of 17 · Question 1 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Environmental damage A is not correct because MNCs invest in factories and capital equipment in other countries B is not correct because this is an advantage of MNCs C is not correct because MNCs often create new jobs when locating in another country	**(1)**

Question Number	Which **one** of the following describes voluntary unemployment? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **C** Unemployment caused by individuals choosing not to work A is not correct because this describes structural unemployment B is not correct because this describes cyclical unemployment D is not correct because this describes seasonal unemployment	**(1)**

Question Number	What is meant by the term monetary policy? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Use of interest rates/money supply **(1)** to influence the level of overall demand in the economy **(1)** Accept any other appropriate response	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 13 of 17 · Question 1 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

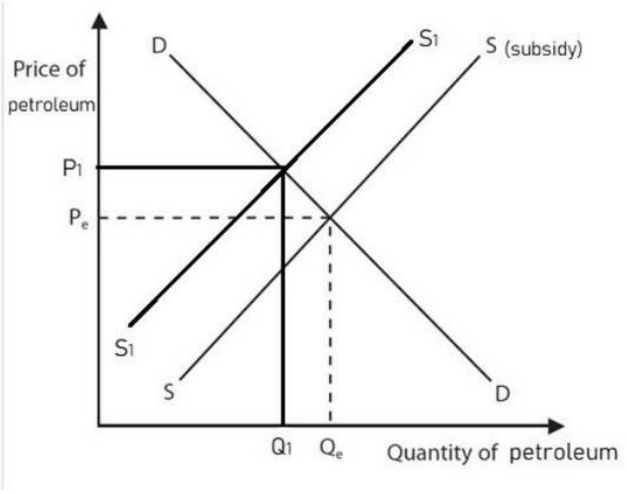
Question Number	Describe **one** advantage of privatisation for a government. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a government and 1 mark for development of an advantage for a government Generates revenue **(1)** which can help the government to invest in other areas **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for selecting indirect taxes from the table £14.3bn + £3.7bn + £0.4bn **(1)** Award 1 mark for the correct answer = £18.4bn **(1)** Award 2 marks if the correct answer is £18.4bn even if no calculations are shown Award 1 mark if the answer given is 18.4 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 13 of 17 · Question 1 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 13 of 17 · Question 1 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Question Number	Explain **one** advantage of deregulation for a country such as India. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that it can increase competition **(1)**. New telecommunications firms can more easily enter the market and compete with established companies **(1)** which can lead to lower prices/higher quality/more choice for consumers **(1)** • One advantage is that it can stimulate economic growth **(1)**. When regulations are reduced, firms pay lower taxes or fees so may have more resources to invest **(1)** which can create jobs and increase economic output **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages for UK firms of the UK joining the CPTPP trading bloc. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • The CPTPP includes countries in the Asia-Pacific region, providing UK firms with access to new markets that they might not have been able to enter before • By joining the CPTPP, the UK firms could benefit from reduced trade barriers, making it easier and cheaper to export goods to member countries • Membership in the CPTPP could help UK firms access skilled labour in other member countries • Membership of the CPTPP could help the UK firms diversify trade relationships beyond Europe, reducing the risk of relying on a single trading partner	**(6)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 13 of 17 · Question 1 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question Number	Which **one** of the following is the calculation for the rate of unemployment in a country? **Answer**	Mark

1(a)	**AO1 1 mark** The only correct answer is: **C** Developing skills A is not correct because this is a disadvantage of MNCs B is not correct because MNCs often cause pollution in other countries D is not correct because MNCs often move profits back to their own countries	**(1)**

Question Number	Which **one** of the following is a measurement of gross domestic product (GDP)? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** Total value of goods and services produced within an economy A is not correct because of GDP focuses on the production aspect of goods and services rather than the value traded C is not correct because exports are only a part of the total production within an economy D is not correct because it the value of imports is not used in the calculation of GDP	**(1)**

Question Number	What is meant by the term the current account on the balance of payments? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A record of all transactions **(1)** relating to international trade **(1)** **OR** It is where the total value of exports and imports **(1)** are recorded **(1)** Accept any other appropriate response	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 14 of 17 · Question 1 part a · 1 mark

2024 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

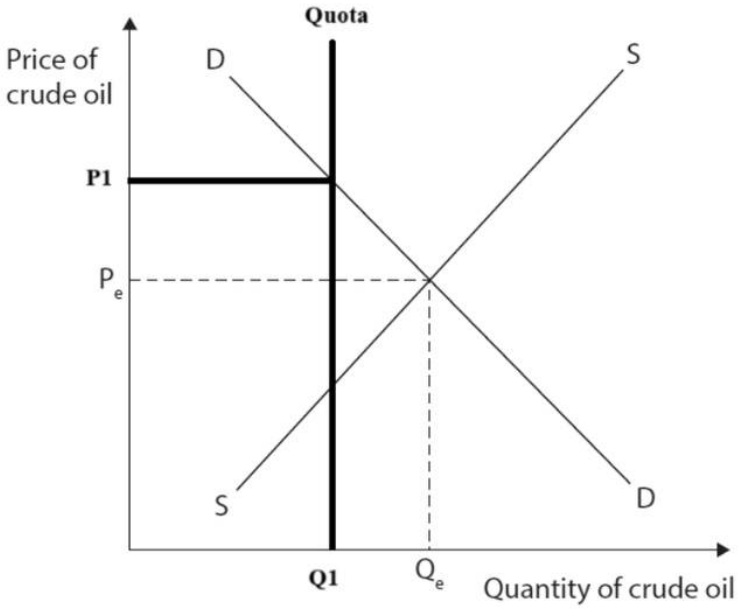
Question Number	Describe **one** way business activity can damage the environment. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to a way and 1 mark for the development of the way One way is by air pollution **(1)** due to factories releasing large amounts of greenhouse gases into the air **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for selecting direct taxes from the table £20bn + £7.6bn **(1)** Award 1 mark for the correct answer = £27.6bn **(1)** Award 2 marks if the correct answer is £27.6bn even if no calculations are shown Award 1 mark if £bn is missing i.e. 27.6 with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 14 of 17 · Question 1 part a · 1 mark

2024 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a perfectly inelastic supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 14 of 17 · Question 1 part a · 1 mark

2024 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Question Number	Explain **one** reason why there may be a link between economic growth and inflation for an economy. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that economic growth can lead to a rise in demand for goods and services **(1).** Due to supply not keeping up with demand **(1)** prices rise/inflation occurs as demand is greater than supply **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the disadvantages to firms in South Africa of being a member of the AfCFTA. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • As more firms from different countries in the AfCFTA enter the South African market, domestic firms may face increased competition • Foreign firms may have advantages such as lower costs of production, better technology or greater access to resources which can give them an advantage over domestic firms • This could lead to lower prices and profit margins, making it harder for domestic firms to survive in the market • If South African firms are unable to compete with other firms in the trade bloc they may be forced to close or to reduce their workforce	**(6)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 14 of 17 · Question 1 part a · 1 mark

2024 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question Number	What is the likely impact of lower transport and communication costs on an economy? **Answer**	Mark

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 15 of 17 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

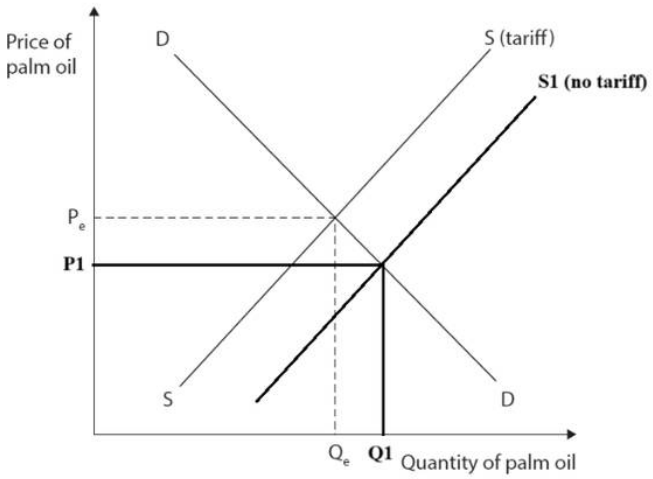
3(a)	**AO2 1 mark** The only correct answer is: **A** A Japanese car company buying an Indonesian car company B is not correct because this is an example of importing goods C is not correct because this is an example of domestic trade D is not correct because this an example of exporting goods	**(1)**

Question Number	How many US dollars ($) would it take to purchase £150? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **C** $187.50 A is not correct because this 0.80 x 150 B is not correct because this is 150 + 0.80 D is not correct because this is 150 + 80	**(1)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 15 of 17 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a right shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 15 of 17 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible benefits for consumers of globalisation. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumers can access a wider range of goods and services from different countries including luxury items, exotic foods and digital products that were previously unavailable or expensive • Increased competition and economies of scale have led to lower production costs which in turn have reduced prices for many consumer goods, such as clothing, electronics and household items • As consumers have access to more and cheaper goods, their purchasing power has increased • This can lead to higher living standards, better health and improved quality of life • Globalisation has facilitated the transfer of knowledge and technology across borders • This has led to new innovations, such as smartphones, online entertainment and e-commerce	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 15 of 17 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how a recession may affect inflation in a country such as Germany. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A recession is two consecutive quarters of negative growth • During a recession households and firms tend to reduce their spending which results in lower demand for goods and services • This decrease in (aggregate) demand can lead to lower prices for goods and services • This could help to reduce Germany's 10.4% rate of inflation • Firms in Germany may experience lower production costs due to lower input prices such as lower wages or lower prices for raw materials • This can result in lower prices for goods and services and again help to lower inflation **AO4** • However, the effects of a recession on inflation may depend on the type of inflation Germany is suffering • Inflation can be caused by cost-push factors rather than demand-pull factors • Germany has been suffering from an energy crisis due to high gas and oil prices • This could feed through to higher production costs for firms resulting in higher prices and therefore high rates of inflation • The central bank may pursue an expansionary monetary policy during a recession by keeping interest rates low • This can lead to higher inflation even if economic growth is weak	**(9)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 15 of 17 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 15 of 17 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate the **fiscal deficit or surplus** in CAD$bn for Canada in 2021–2022. You are advised to show your working **Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **C** Monetary A is not correct because this involves government revenue and government expenditure B is not correct because this involves increasing the productive capacity and output of an economy D is not correct because this involves the supply of and demand for currencies	**(1)**

Question Number	Which **one** of the following is an example of deregulation? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** Allowing more foreign firms into the domestic market A is not correct because it involves imposing a new regulation on how much government officials can be paid C is not correct because compulsory employee training adds a new layer of requirements for firms D is not correct because this increases the amount of regulation to protect consumers	**(1)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 16 of 17 · Question 2 part c · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	State **one** possible advantage of foreign direct investment (FDI) for an economy. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Creating jobs • Investing in infrastructure • Developing skills • Developing capital • Contributing to taxes • Greater choice • Rising living standards • Lower prices Accept any other appropriate response	**(1)**

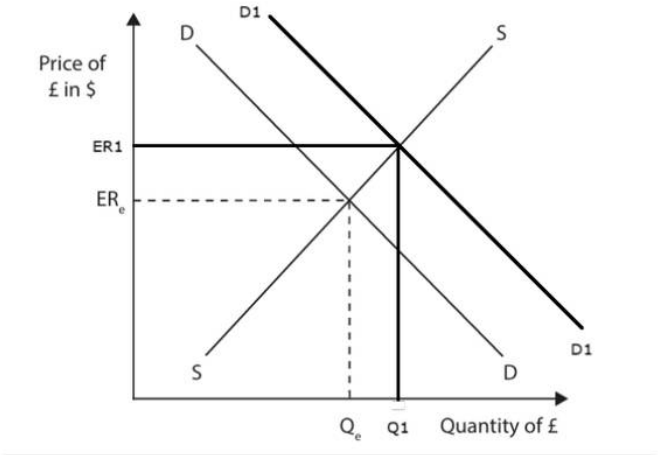
Question Number	What is meant by the term indirect tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied **(1)** on spending **(1)** **OR** A tax added to the price of goods and services **(1)** which consumers pay when they buy something **(1)** Accept any other appropriate response	**(2)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 16 of 17 · Question 2 part c · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** way government provision of healthcare can help to reduce poverty. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is that healthcare helps people to stay healthy **(1)** so they can work more and earn an income **(1).** With more income, they can improve their living conditions and escape poverty **(1)** Accept any other appropriate response	**(3)**

Question Number	Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a rightward shift of demand curve, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 16 of 17 · Question 2 part c · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the South Korean car industry from the removal of tariffs by the Philippines. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The removal of a 5% import tariff on Korean cars makes them cheaper and more competitive against other foreign brands in the Philippines, potentially increasing market share • With tariffs gone, it is likely that more Korean cars will be exported to the Philippines, benefiting manufacturers through increased sales and revenue • Accessing the large and growing Philippine market, which has the 12th largest population and is a significant car importer, offers a substantial expansion opportunity for Korean car makers • Increased car exports to the Philippines can contribute to economic growth and job creation in South Korea's car industry **AO4** • However, with Japanese cars dominating 82.5% of the Philippine market, Korean cars might still struggle to significantly penetrate or compete, even without tariffs • The removal of tariffs may lead to increased competition from domestic car manufacturers in the Philippines, making it harder for Korean cars to gain market share • Filipino consumers might prefer other brands or have a strong brand loyalty to existing cars, making it difficult for Korean cars to penetrate the market • Philippine car manufacturers might retaliate against the influx of cheaper Korean cars • Exchange rate fluctuations could affect the profitability and pricing of Korean cars in the Philippines	**(9)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 16 of 17 · Question 2 part c · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 16 of 17 · Question 2 part c · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following is an advantage of pollution permits? **Answer**	Mark

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 17 of 17 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 1 of 7 · find part e in this mark scheme extract

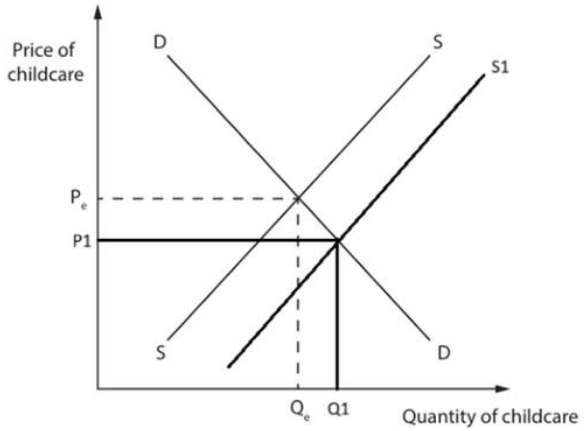
3(a)	**AO2 1 mark** The only correct answer is: **D** The cost to consumers of looking for the lowest price of mobile phones A is not correct because this describes menu costs B is not correct because this is a cost of production C is not correct because this is a cost of shopping online	**(1)**

Question Number	Calculate the trade balance between the UK and Spain in 2023. **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **C** A trade deficit of £24.3bn A is not correct because this is imports – exports B is not correct because this is exports + imports and assumes a surplus D is not correct because this is exports + imports and assumes a deficit	**(1)**

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 17 of 17 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a rightward shift of supply, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	(3)

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 17 of 17 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why fewer tariffs and quotas have resulted in an increase in globalisation. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Fewer tariffs and quotas reduce the cost of importing and exporting goods, making international trade more accessible and widespread • Lower trade barriers encourage countries to specialise in producing goods where they have an advantage, increasing global trade efficiency • The reduction in tariffs and quotas encourage competition among businesses, leading to innovation and the spread of new technologies across different countries • Consumers benefit from a wider variety of goods and services at lower prices, enhancing global interconnectedness • Easier access to international markets allows businesses to expand globally, creating stronger economic ties between countries

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 17 of 17 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 4 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 17 of 17 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the advantages of multinational corporations (MNCs) for the countries in which they operate. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • MNCs such Levi Strauss & Co can create employment opportunities, improving the standard of living for workers in countries where they operate • Worker well-being programmes can enhance the health, education and financial stability of employees, leading to a more productive workforce • MNCs often bring advanced technology and management practices to host countries, contributing to economic development and skill enhancement • Many MNCs invest in infrastructure such as roads in the countries in which they operate in order to get goods to market • The presence of MNCs can increase tax revenues for the host country's governments, which can be used for public services and infrastructure development • MNCs may engage in sustainable practices, such as water conservation and reducing greenhouse gas emissions, benefiting the local environment **AO4** • However, MNCs might prioritise profits over the welfare of local workers, potentially leading to poor working conditions despite well-being programmes • Local businesses may struggle to compete with large MNCs, which can limit the growth of domestic industries • MNCs could exploit natural resources or contribute to environmental degradation, despite some efforts at sustainability • The economic benefits of MNCs might be unevenly distributed, with most profits flowing back to the MNC's home country rather than staying in the host country • MNCs might influence local governments and policies in ways that favour their interests over those of the local population • Some MNCs might move profits abroad rather than invest in the countries in which they operate

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 17 of 17 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Multinationals and FDI: why firms invest abroad, gains and costs

Answer 17 of 17 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the **total value of UK exports** to France in euros (€bn) in 2023. You are advised to show your working. **Answer**	**Mark**